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CASE #	CASE NAME	HEARING NAME
CVRI2601475	LEONARD VS HYUNDAI MOTOR AMERICA	MOTION TO COMPEL ARBITRATION

Tentative Ruling:

DENIED

PROOF OF SERVICE: Proper

This is a lemon law case. On July 28, 2025, Plaintiff Gary Leonard (“Plaintiff”) purchased a 2025 Hyundai Palisade (“Subject Vehicle”), which was manufactured and/or distributed by Defendant Hyundai Motor American (“Defendant” or “HMA”). Plaintiff alleges that HMA failed to conform the Subject Vehicle to the express written warranties within a reasonable number of repair attempts. HMA refused to repurchase the Subject Vehicle in violation of the Song Beverly Consumer Warranty Act (“Song Beverly Act.”)

On March 9, 2026, Plaintiff filed his Complaint. She asserts three causes of action for: (1) Violation of the Song Beverly Consumer Warranty Act—Breach of Express Warranty; (2) Violation of the Song Beverly Consumer Warranty Act—Breach of Implied Warranty; and (3) Violation of Bus. & Prof. Code § 17200+.

Defendant now moves to compel arbitration pursuant to an arbitration agreement (“Arbitration Agreement”) included in the Owner’s Handbook and Warranty Information (“Warranty”). Defendant argues that the FAA applies to the Arbitration Agreement. Defendant argues that the Agreement is enforceable and applies to all of Plaintiff’s claims. Defendant argues that the doctrine of equitable estoppel applies because all of Plaintiff’s claims rely on the Warranty containing the Arbitration Agreement. Defendant argues that the Arbitration Agreement is not unconscionable.

Plaintiff argues that the Arbitration Agreement is unenforceable since it lacks mutual assent and was not signed by Plaintiff. Plaintiff argues that the Warranty is not a contract. Plaintiff argues that the doctrine of equitable estoppel does not apply because the claims are based on statute and are not based on the Warranty.

In its Reply, Defendant argues that Plaintiff established assent by relying on the Warranty throughout the Complaint. Defendant argues that the claims are based on the warranty. Defendant argues that the Arbitration Agreement is not unconscionable.

HMA requests judicial notice of the Complaint filed in this action, which is granted under Evid. Code § 452(d), which permits judicial notice of court records.

As to the motion to arbitrate, upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) Arbitration of disputes is favored and "when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes." (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc*. (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to prove any defense. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal 4th 394, 413-414.)

Defendant argues that the ***Federal Arbitration Act*** applies to the Arbitration Agreement. The Federal Arbitration Act (9 U.S.C. §§1 et seq.) generally governs arbitration in written contracts involving interstate commerce and authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract, similar to the California Arbitration Act. (9 U.S.C. §2; *Basura v. U.S. Home Corp*. (2002) 98 Cal.App.4th 1205, 1213.) Whether an arbitration clause is governed by the FAA is determined by whether the agreement evidences a transaction involving interstate commerce. (*Guiliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1286; see also *Allied-Bruce Terminix Companies, Inc. v. Dobson* (1995) 513 US 265, 273-281.) Additionally, an express provision that an arbitration agreement will be governed by the FAA is enforceable even if interstate commerce is not established. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal. App. 5th 337, 355.) Here, the Arbitration Agreements in the Warranty expressly provides that the FAA applies. (Decl. of Ameripour, Ex. 2, p. 14.)

Both the FAA and the California Arbitration Act require the existence of a valid arbitration agreement between the parties, before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) In this case, HMA produced a copy of a 2023 Hyundai Owner's Handbook, which contains an arbitration agreement which provides:

> If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute

> via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

(Decl. of Ameripour, Ex 2, p. 12.) The Arbitration Agreement further provides:

> If you purchased or leased your vehicle in California, your warranty is made subject to the terms of this binding arbitration provision. By using the vehicle or requesting or accepting benefits under this warranty, including having any repairs performed under warranty, you agree to be bound by these terms. If you do not agree with these terms, please contact us at opt-out@HMAUSA.com within thirty (30) days of your purchase or lease to opt-out of this arbitration provision.

(Id, p. 14.)

Plaintiff argues that the arbitration agreement is not enforceable because there is no evidence of mutual assent. "In California, '[g]eneral principles of contract law determine whether the parties have entered a binding agreement to arbitrate.'" (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development, LLC* (2012) 55 Cal.4th 223, 236.) "An essential element of any contract is the consent of the parties or mutual assent." (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 270, Civ. Code §§ 1550, 1565.) "Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understanding." (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 787-788.) Mutual assent may be established by conduct as well as words as long as the conduct manifests an intent to form a binding contract. (*Binder v. Aetna Life Ins. Co.* (1999) 75 Cal. App. 4th 832, 850-851.)

Neither the Arbitration Agreement nor Warranty Handbook are signed by Plaintiff. Nor is there any declaration or affidavit of HMA or dealership employees with personal knowledge of the delivery of the Warranty. While the normal procedures of document authentication are not necessary for the purpose of establishing the existence of an arbitration agreement, facts necessary for a determination of its enforceability are proven by affidavits and declarations. (*Condee v. Longwood Management Corp*. (2001) 88 Cal. App. 4th 215, 218.) In this case, there is no evidence that the Arbitration Agreement was provided to Plaintiff with the Warranty at the time he purchased the Subject Vehicle. While the Complaint vaguely references "written warranties" (Comp., ¶ 14), it is not clear that these warranties are the same as the Warranty containing the Arbitration Agreement. Defendant has not established that the existence of an arbitration agreement covering Plaintiff's claims.

<u>Equitable Estoppel</u>:

Defendant argues that Plaintiff is estopped from denying the arbitration agreement under the doctrine of equitable estoppel. Under the doctrine of equitable estoppel, "a litigant may not assert claims based on a contract while simultaneously arguing that an arbitration clause in that contract is ineffective," (*Stiner v. Brookdale Senior Living, Inc.* (9th Cir. 2020) 810 F.App'x 531, 534.) However, this rule applies to contracts. Under California warranty law, warranties, unlike contracts, do not impose binding obligations on the buyer. (*Weinstat v. Dentsply Int'l, Inc*. (2010) 180 Cal.Ap.4th 1213, 1228-1229.) "A warranty relates to the title, character, quality, identity, or condition of the goods. The purpose of the law of warranty is to determine what it is that the seller has in essence agreed to sell." (*Keith v. Buchanan* (1985) 173 Cal.App.3d 13, 20.) Based on those warranties, the seller is bound to deliver and the buyer to accept goods that match the warranties made. (Ibid.) Written warranties are merely a written statement of promises made to the consumer prior to a purchase, which constitute a declaration of the facts presented or promises made to the consumer in connection with the sale of goods. (Com. Code §2313; Civil Code §§ 1791.2, 1790.3; 15 U.S.C. § 2301(6).) While the seller may be held to the promises/warranties it made to a consumer prior to the sale of a vehicle, which are reduced to a written form pursuant to Civ. Code §1791.2, Com. Code §2313 and/or 15 U.S.C. §2301(6), the written warranties do not constitute a contract between the manufacturer and the buyer. As such, Plaintiff is not estopped from denying the Arbitration Agreement contained in the Warranty Handbook even though his warranty claims against HMA are based on the warranties which are also contained therein. Because Defendant has not established that the parties entered into a valid arbitration agreement, the Motion to Compel Arbitration is denied.